AI-generated · Unofficial practice paper

Economics Mock

Paper 1 (Multiple-choice Questions)

8.30 am – 9.30 am (1 hour)

FOR REVISION

For revision and self-assessment only. Not an official examination paper.

INSTRUCTIONS

1. There are 45 questions in this paper.
2. Answer ALL questions.
3. Choose the BEST answer for each question.
4. Each question carries 1 mark; no marks will be deducted for wrong answers.
5. The diagrams in this paper are not necessarily drawn to scale.

Independent, unofficial mock paper. Not affiliated with any official examination authority.

1. A non-profit organisation divides a piece of vacant land into small farming plots and allocates them to residents by lot for one year. During the year, a successful resident has sole use of the plot and may consume or sell the vegetables grown. Compared with opening the whole piece of land for all residents to farm freely, which of the following is/are the most likely result(s) of this arrangement?

(1) Successful residents have a greater incentive to fertilise and maintain their plots.

(2) Overuse of the farmland will be reduced.

(3) The piece of land is no longer a scarce resource.

A. (1) only

B. (1) and (2) only

C. (2) and (3) only

D. (1), (2) and (3)

2. Which of the following examples is/are related to the basic economic problem "What to produce?"

(1) A farm replaces manual picking of strawberries with picking machines.

(2) After the Mid-Autumn Festival, a bakery stops making mooncakes and makes more egg tarts.

(3) The government converts an open-air car park into a park.

A. (2) only

B. (3) only

C. (2) and (3) only

D. (1), (2) and (3)

3. Ka Yan has the following three options on Saturday but can choose only one:

• work part-time at a café for a wage of $420;

• tutor a student for $450, but she has to pay $60 for her return transport;

• attend a one-day photography course.

She has already paid a non-refundable deposit of $100 for the course. If she attends, she has to pay another $200 on the day. She finally chooses to attend the course. What is the opportunity cost of attending the course?

A. $420 **B.** $620 **C.** $650 **D.** $720

4. A price-taking firm has been producing at its profit-maximising output. Suppose the wage rate of its workers rises while the market price of its product stays unchanged. If the firm continues to produce, its output will ____ and the marginal cost of the last unit it produces will ____.

A. decrease ..... remain unchanged

B. decrease ..... increase

C. remain unchanged ..... increase

D. decrease ..... decrease

5. The table below shows the total output of a firm when it employs different numbers of workers with 3 machines.

機器數目 Number of machines	工人數目 Number of workers	總產量 (單位) Total output (units)
3	1	12
3	2	30
3	3	45
3	4	56
3	5	62

According to the table, which of the following is correct?

A. Diminishing marginal returns set in with the second worker.

B. The average product of labour starts to fall when the third worker is employed.

C. The firm experiences diseconomies of scale when the fifth worker is employed.

D. Diminishing marginal returns set in with the third worker.

6. Which of the following measures would most likely increase the geographical mobility of labour?

A. The government subsidises unemployed persons to take retraining courses in the logistics industry.

B. Large employers raise the retirement age of their staff from 60 to 65.

C. The government provides a one-year rent allowance to employees who move to work in a new development area.

D. The government raises the statutory minimum wage.

7. A listed electric-ferry manufacturer is wound up after years of losses, and its assets are insufficient to repay all its debts. Which of the following statements is/are correct?

(1) The company's bondholders are repaid before its ordinary shareholders.

(2) Shareholders have to repay the company's outstanding debts with their personal assets.

(3) A shareholder's loss is at most the amount paid for his shares.

A. (1) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

8. Which of the following belong(s) to tertiary production?

(1) An aerial photography company provides aerial filming services for weddings.

(2) A factory assembles drones.

(3) A shop repairs damaged drones.

A. (1) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

9. A chain of tea shops takes over another chain of tea shops of similar size. The most likely motive for this takeover is

A. to secure a stable supply of tea leaves as raw materials.

B. to secure sales outlets for the tea leaves produced by tea plantations.

C. to spread risks by running unrelated businesses.

D. to enjoy economies of scale through bulk purchase of tea leaves.

10. The table below shows the total cost of a price-taking firm. If the market price is $13 per unit, in the short run the firm will

產量 (單位) Output (units)	總成本 ($) Total cost ($)
0	15
1	27
2	35
3	45
4	59
5	77

A. produce 3 units and incur a loss of $6.

B. shut down and incur a loss of $15.

C. produce 4 units and incur a loss of $7.

D. produce 3 units and earn a profit of $9.

11. New production technology lowers the cost of producing LED bulbs. Suppose traditional light bulbs are substitutes for LED bulbs. How will the quantity transacted in the market for LED bulbs and the equilibrium price in the market for traditional light bulbs change?

	LED bulbs – quantity transacted	*traditional bulbs – equilibrium price*
A.	increase	decrease
B.	increase	increase
C.	decrease	decrease
D.	increase	uncertain

12. The table below shows May's and Keung's marginal benefits from buying boxes of cookies. The market price of cookies is $40 per box. Assume they buy whole boxes only. Which of the following statements is/are correct?

第 n 盒曲奇 n-th box of cookies	美玲的邊際利益 ($) May's marginal benefit ($)	志強的邊際利益 ($) Keung's marginal benefit ($)
1	90	60
2	70	55
3	45	52
4	35	45
5	20	42

(1) May buys more boxes of cookies than Keung.

(2) May's consumer surplus is greater than Keung's.

(3) If the market price rises to $50 per box, the decrease in Keung's consumer surplus is greater than that in May's.

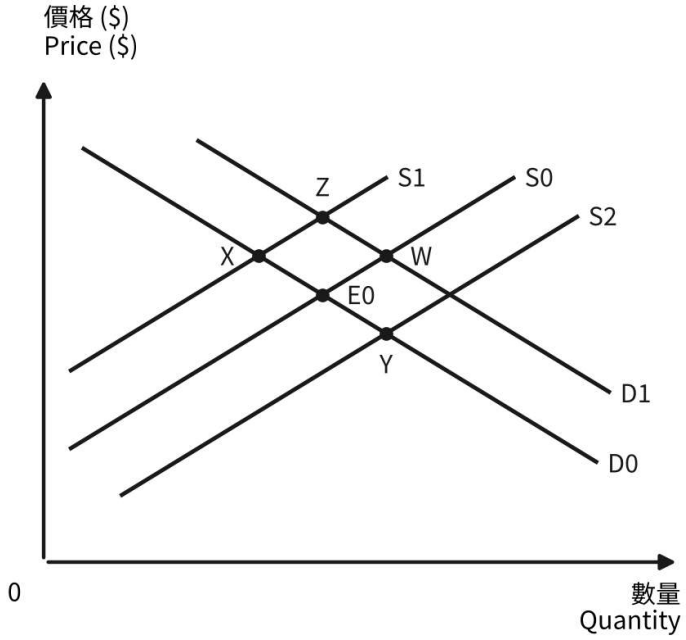
A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

13. Refer to the diagram below. The market for bubble tea is initially in equilibrium at E0. Suppose:



• a poor cassava harvest raises the price of tapioca pearls (a major input);

• the price of fruit tea (a substitute for bubble tea) rises.

The new equilibrium point will be

A. W. **B.** X. **C.** Y. **D.** Z.

14. The table below shows the demand and supply schedules of water purifiers. The government provides a unit subsidy of $12 per purifier to producers. Which of the following statements is/are correct?

價格 ($) Price ($)	需求量（部） Quantity demanded (units)	供應量（部） Quantity supplied (units)
36	600	320
42	560	420
48	500	500
54	420	560
60	320	600

(1) After the subsidy, the quantity transacted of water purifiers increases by 60 units.

(2) After the subsidy, the marginal cost of the last purifier is higher than its marginal benefit.

(3) After the subsidy, consumers' total expenditure on water purifiers increases.

A. (1) and (2) only **B.** (1) and (3) only

C. (2) and (3) only **D.** (1), (2) and (3)

15. More and more supermarkets install self-checkout machines. At the same time, many cashiers retire. How will the wage rate and the number of cashiers employed change?

A. The wage rate falls and the number employed falls.

B. The wage rate rises and the number employed is uncertain.

C. The wage rate is uncertain and the number employed falls.

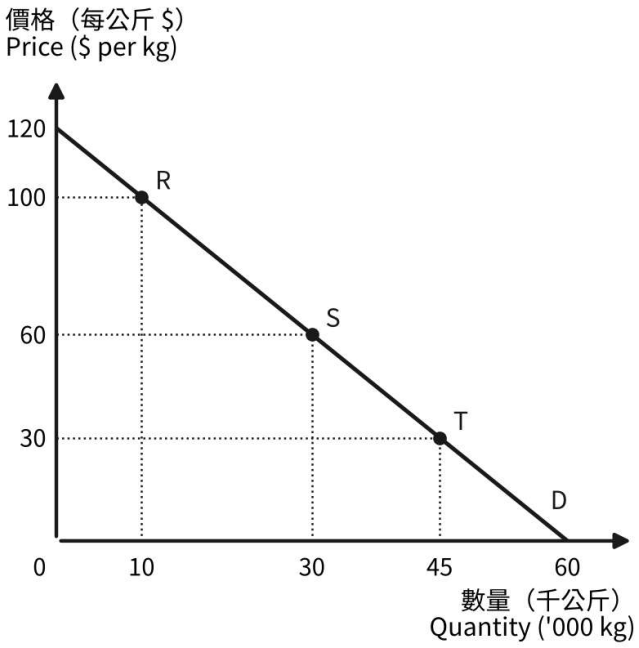
D. Both the wage rate and the number employed are uncertain.

16. The table below shows the demand and supply schedules of good X. The government sets a price ceiling of $25 on good X. Under the price ceiling, what is the highest price buyers are willing to pay for the last unit of the quantity transacted?

價格 ($) Price ($)	需求量 Quantity demanded	供應量 Quantity supplied
20	900	300
25	800	400
30	700	500
35	600	600
40	500	700
45	400	800

A. $25 **B.** $35 **C.** $40 **D.** $45

17. The diagram below shows the straight-line demand curve for fresh durians. Which of the following is correct?



A. When the price falls from $100 to $60, consumers' total expenditure on durians decreases.

B. At point S, the price elasticity of demand is equal to 1.

C. When the price falls from $60 to $30, the demand is price elastic.

D. The price elasticity of demand is the same at point R and at point T.

18. Which of the following is/are common feature(s) of a monopolistically competitive firm and an oligopolistic firm?

(1) The firm is a price searcher.

(2) The firm has to consider its rivals' reactions when setting its price.

(3) The firm may increase the demand for its product through advertising.

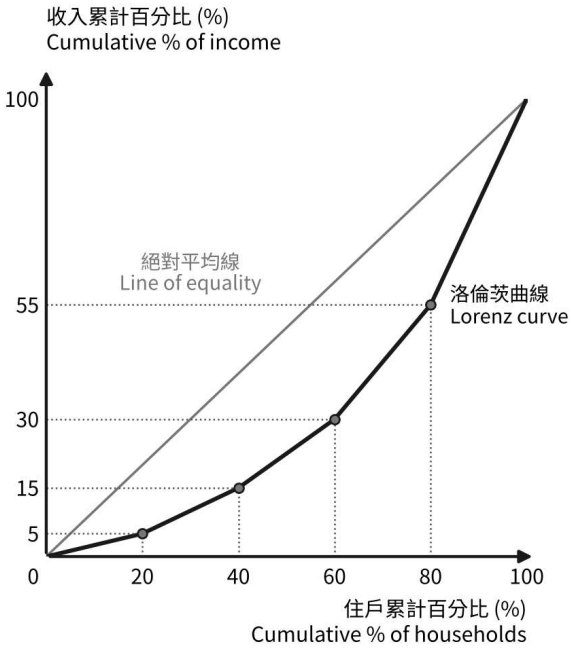
A. (1) only

B. (3) only

C. (1) and (3) only

D. (1), (2) and (3)

19. The diagram below shows the Lorenz curve of a country. The share of total income received by the richest 20% of households is how many times that received by the poorest 20% of households?



A. 3 times **B.** 4.5 times **C.** 9 times **D.** 11 times

20. Which of the following policies aim(s) mainly at equalising opportunities?

(1) The government subsidises persons with disabilities to buy assistive devices so that they can apply for a wider range of jobs.

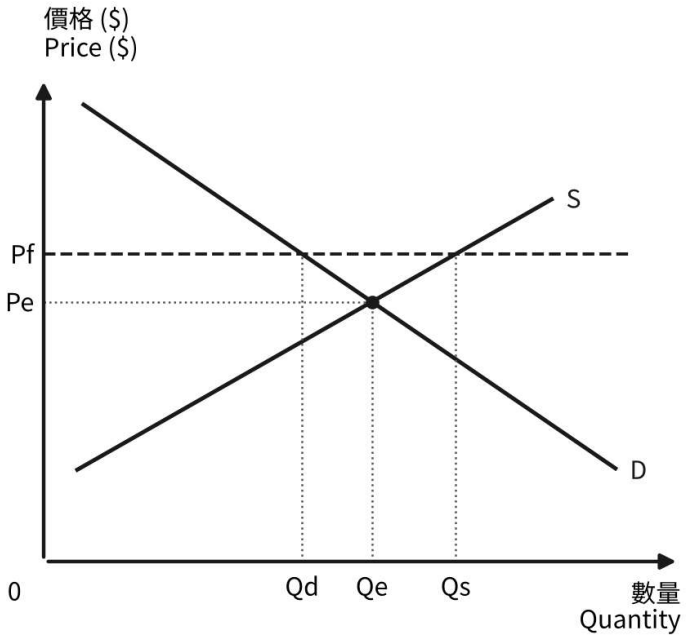
(2) The government gives a one-off cash payment of $4 000 to everyone aged 65 or above.

(3) A law prohibits employers from rejecting job applicants on the ground of age.

A. (1) only **B.** (3) only

C. (1) and (2) only **D.** (1) and (3) only

21. Refer to the diagram below. The government sets a price floor Pf for rice and promises to buy all the unsold rice in the market at Pf. Compared with the situation without the price floor, which of the following statements is/are correct?



(1) Consumer surplus decreases.

(2) Producer surplus increases.

(3) Consumers' total expenditure on rice must increase.

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

22. The number of pitches at a privately run campsite is fixed and cannot be increased in the short run. A newly launched bus route increases visitors' demand for these pitches. In the short run, how will the equilibrium price, the quantity transacted and the producer surplus of the pitches change?

	Price	*quantity transacted*	*producer surplus*
A.	increase	unchanged	increase
B.	increase	increase	increase
C.	increase	unchanged	unchanged
D.	increase	unchanged	uncertain

23. The table below shows some data of an economy in two years. From Year 1 to Year 2, the percentage change in per capita real GDP is about

	第 1 年 Year 1	第 2 年 Year 2
名義本地生產總值（十億元） Nominal GDP ($ billion)	2 400	2 520
本地生產總值內含平減物價指數 Implicit price deflator of GDP	100	108
人口（百萬） Population (million)	7.5	7.4

A. -3.0% **B.** -2.8% **C.** -1.5% **D.** +6.4%

24. The table below shows the labour force and unemployment rate of an economy in two years. From Year 1 to Year 2, the change in the number of employed persons is

	第 1 年 Year 1	第 2 年 Year 2
勞動人口 Labour force	3 900 000	3 850 000
失業率 Unemployment rate	4.0%	4.8%

A. a decrease of 28 800.

B. a decrease of 31 200.

C. a decrease of 50 000.

D. a decrease of 78 800.

25. In 2026, a Hong Kong furniture maker produces 100 sofas in its local factory and sells 70 of them by the end of the year. The value of which of the following is included in Hong Kong's GDP for 2026?

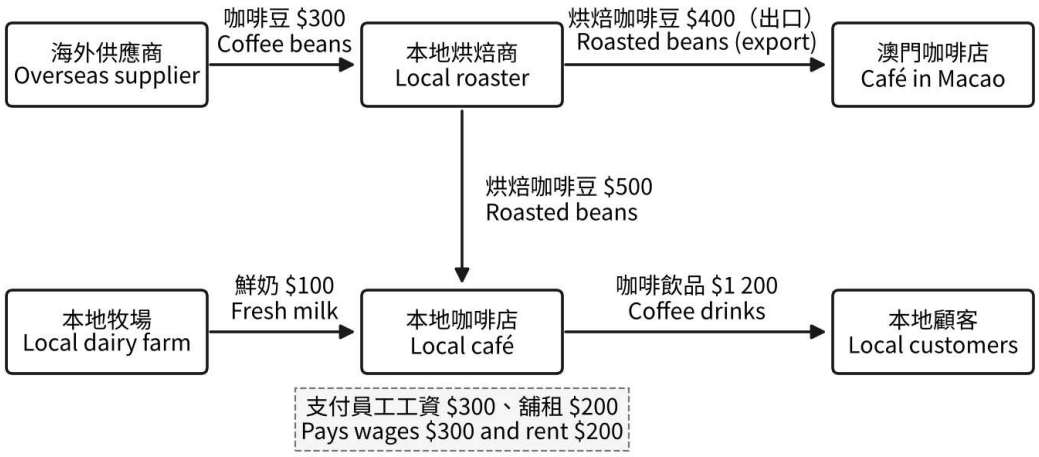
A. sofas made by the maker in 2025 and sold in 2026

B. sofas made in the maker's factory in Vietnam

C. the full selling price of imported sofas resold by local retailers

D. the 30 sofas made by the maker in 2026 but still unsold at the end of the year

26. The diagram below shows the transactions along a coffee production chain in Hong Kong (assume there is no other intermediate consumption). What is the contribution of these activities to Hong Kong's GDP?



A. $800 **B.** $1 300 **C.** $1 600 **D.** $2 200

27. Which of the following would shift the aggregate demand curve of an economy to the left?

A. A fall in the general price level

B. A rise in the cost of imported raw materials

C. A sharp fall in property prices reduces households' wealth

D. An improvement in production technology

28. The table below shows the balance sheet of a banking system. Banks hold no excess reserves, and the public holds $400 million in cash. The central bank sells $50 million of government bonds to the public, who pay entirely with the cash they hold. Assume that the public does not subsequently adjust its holdings of cash and deposits. If money supply = cash held by the public + deposits, the money supply will

資產 Assets		負債 Liabilities	
儲備 Reserves	600	存款 Deposits	2 400
貸款 Loans	1 800		

（單位：百萬元 $ million）

A. decrease by $50 million.
B. decrease by $150 million.
C. decrease by $200 million.
D. decrease by $250 million.

29. Regarding the three-tier banking system in Hong Kong, which of the following statements is/are correct?

(1) Only licensed banks may operate current accounts and savings accounts.
(2) Restricted licence banks may only accept deposits of HK$500 000 or above.
(3) Deposit-taking companies may accept savings deposits of any amount.

A. (1) only
B. (2) only
C. (1) and (2) only
D. (1), (2) and (3)

30. Villagers on a remote island use bags of rice as a medium of exchange. Which of the following statements is/are correct?

(1) Rice does not serve well as a store of value because it may spoil.
(2) Using rice as a medium of exchange can solve the problem of double coincidence of wants.
(3) Rice cannot serve as a standard of deferred payment because it is a commodity.

A. (1) only
B. (1) and (2) only
C. (1) and (3) only
D. (1), (2) and (3)

31. Mr Lee holds a negotiable certificate of deposit (NCD) with a face value of HK$300 000 issued by a licensed bank. Before maturity, he sells it at face value to another licensed bank and deposits all the proceeds into his current account with a licensed bank. Other things being equal, which of the following statements is/are correct?

(1) M1 increases by HK$300 000.

(2) M2 remains unchanged.

(3) M3 increases by HK$300 000.

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

32. Which of the following statements is/are correct?

(1) If the real interest rate is unchanged, a 2-percentage-point rise in the expected inflation rate raises the nominal interest rate on new loans by 2 percentage points.

(2) The nominal interest rate must be higher than the real interest rate.

(3) The real interest rate can be negative even when the nominal interest rate is positive.

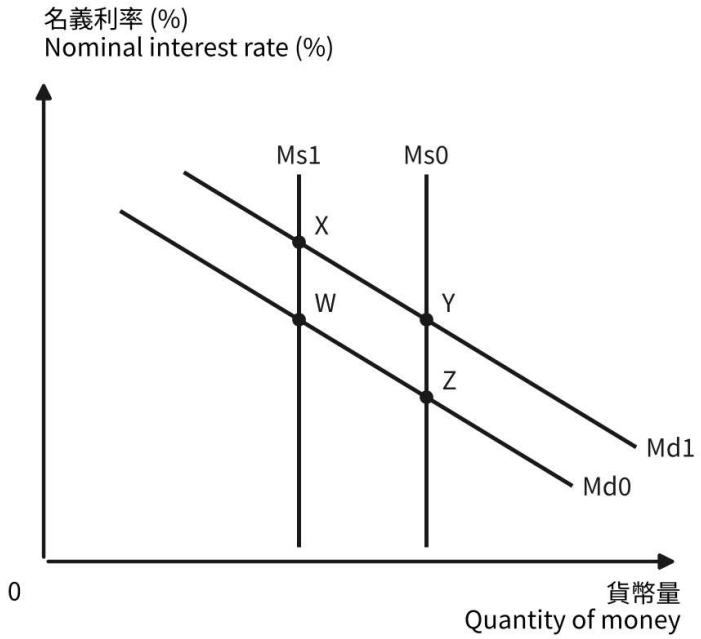
A. (1) only

B. (3) only

C. (1) and (2) only

D. (1) and (3) only

33. Refer to the diagram below. The money market is initially in equilibrium at point Z. If the general price level rises and the central bank raises the discount rate at the same time, the new equilibrium point will be



A. W.

B. X.

C. Y.

D. Z.

34. A tax charges a flat rate of 10% on the part of each person's income above an allowance of $100 000. It is a ____ tax because its ____ rises as income increases.

A. proportional ..... tax payment

B. progressive ..... average tax rate

C. progressive ..... marginal tax rate

D. regressive ..... average tax rate

35. Which of the following would cause the deposits actually created by the banking system to be less than the maximum amount calculated from the required reserve ratio?

(1) Banks hold excess reserves.

(2) The public keeps part of the money borrowed as cash instead of depositing it back into banks.

(3) Borrowers deposit all the money borrowed into another bank instead of the bank that lent it.

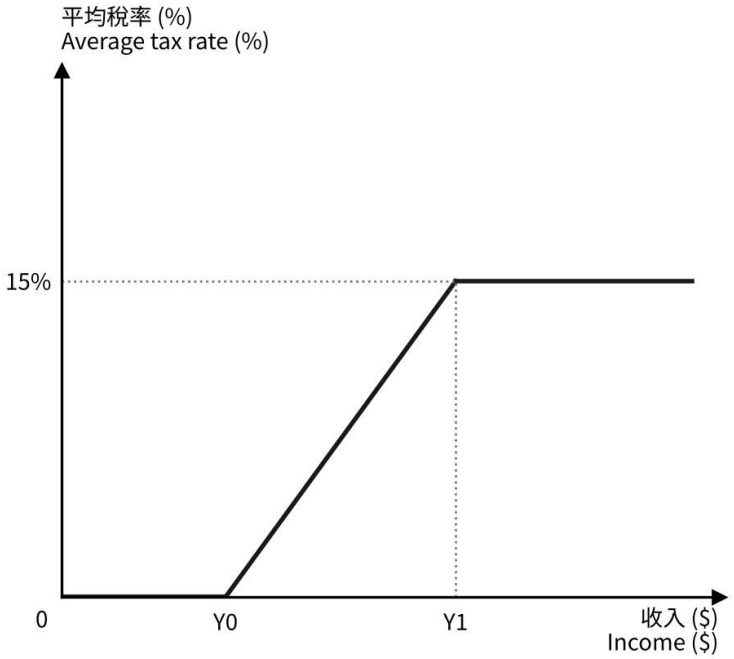
A. (1) only

B. (1) and (2) only

C. (2) and (3) only

D. (1), (2) and (3)

36. The diagram below shows the relationship between the average tax rate of an income tax and income. Which of the following is correct?



A. When income is above Y1, the tax payment remains unchanged.

B. When income is between Y0 and Y1, the tax is regressive.

C. When income is between Y0 and Y1, the marginal tax rate equals the average tax rate.

D. When income is above Y1, the marginal tax rate equals the average tax rate.

37. Suppose the inflation rate of an economy has been steady at 8% and it is correctly anticipated by everyone. Which of the following costs would still arise?

(1) Restaurants have to reprint their menus frequently to update prices.

(2) People hold less cash and hence have to go to the bank to withdraw money more often.

(3) Lenders of fixed-rate loans lose and borrowers gain because of inflation.

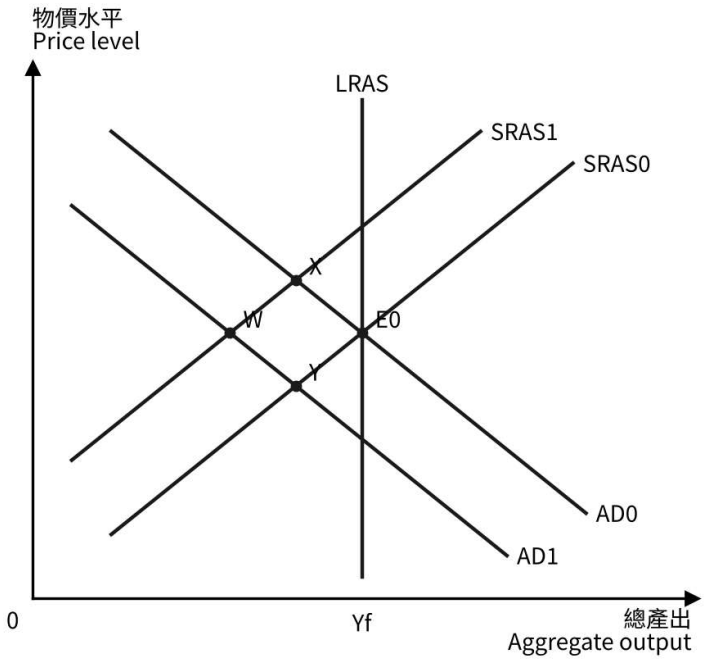
A. (1) only

B. (1) and (2) only

C. (1) and (3) only

D. (1), (2) and (3)

38. Refer to the diagram below. The economy is initially in equilibrium at E0. If the government cuts its spending on public works and, at the same time, a major strike by port workers sharply raises transport costs, the new short-run equilibrium point will be



A. W.

B. X.

C. Y.

D. E0.

39. Which of the following must be true?

A. GNI must be greater than GDP.

B. If the implicit price deflator of GDP in a year is above 100, nominal GDP must be greater than real GDP in that year.

C. If real GDP rises, per capita real GDP must rise.

D. If the unemployment rate rises, the number of employed persons must fall.

40. Country K is currently experiencing a deflationary gap. The government is considering one of the following two schemes, each involving the same amount of money and financed by issuing bonds:

Scheme I: giving a one-off allowance to low-income working households.

Scheme II: buying more local construction services to build public facilities.

Other things being equal, which of the following is correct?

A. Both schemes are directly counted as government expenditure in GDP.

B. Scheme I has a larger final impact on aggregate demand than Scheme II, because the allowance goes directly to households and can be spent at once.

C. Scheme I is a transfer payment and therefore has no effect on aggregate demand.

D. Scheme II has a larger initial impact on aggregate demand than Scheme I, because the recipient households would save part of the allowance received.

41. The table below shows a government's revenue and expenditure in three fiscal years and the economy's nominal GDP. According to the table, which of the following is correct?

財政年度 Fiscal year	政府收入（十億元） Government revenue ($ billion)	政府開支（十億元） Government expenditure ($ billion)	名義本地生產總值（十億元） Nominal GDP ($ billion)
2023-24	560	610	2 500
2024-25	600	620	2 800
2025-26	590	580	2 900

A. Government expenditure rose every year.

B. Government revenue as a percentage of nominal GDP rose in 2024-25.

C. Government expenditure as a percentage of nominal GDP fell every year.

D. The fiscal deficit as a percentage of nominal GDP rose from 2023-24 to 2024-25.

42. The table below shows the labour hours required by Country A and Country B to produce one unit of X and one unit of Y. The two countries trade according to comparative advantage. The transport cost of shipping each unit of Y is equivalent to 0.15 unit of X, borne by the importing country of Y. Which of the following terms of trade is mutually beneficial?

每單位所需工時 Labour hours per unit	物品 X Good X	物品 Y Good Y
甲國 Country A	5	8
乙國 Country B	2	6

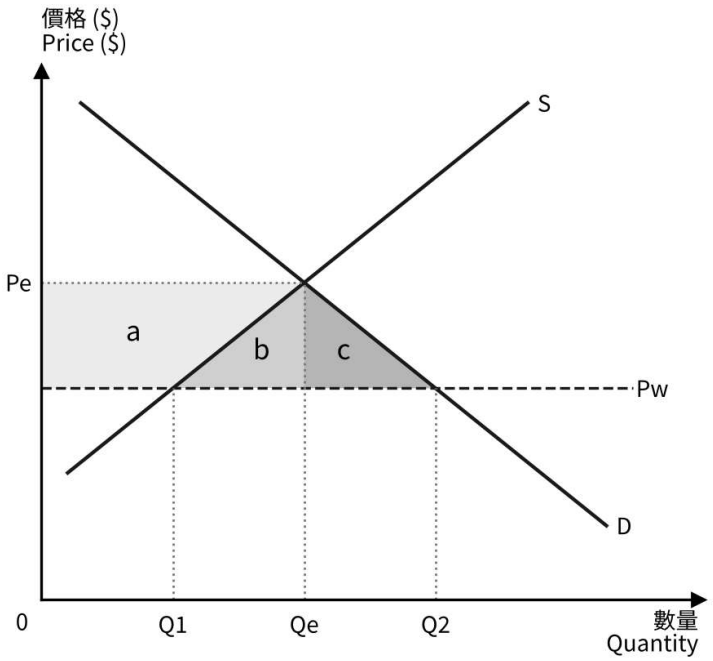
A. 1 unit of X for 0.30 unit of Y

B. 1 unit of X for 0.34 unit of Y

C. 1 unit of X for 0.50 unit of Y

D. 1 unit of X for 0.65 unit of Y

43. Refer to the diagram below. A small open economy initially imports good Z at the world price Pw. The government then bans all imports of good Z. Which area represents the deadweight loss caused by the embargo?



A. b **B.** c **C.** a + b + c **D.** b + c

44. In Hong Kong's balance of payments account, which of the following statements is/are correct?

(1) A Thai tourist's payment to a Hong Kong hotel for accommodation is recorded in the current account.

(2) A loan made by a Hong Kong bank to a firm in Vietnam is recorded in the financial account.

(3) A donation made by the Hong Kong government to an overseas disaster relief fund is recorded in the capital account.

A. (1) and (2) only **B.** (1) and (3) only

C. (2) and (3) only **D.** (1), (2) and (3)

45. The table below shows the exchange rates on two days. A Hong Kong importer pays Z$420 000 (in Country Z's currency) for each machine. From Day 1 to Day 2, the percentage change in the import cost of each machine in Hong Kong dollars is about

	第 1 日 Day 1	第 2 日 Day 2
美元兌港元 USD/HKD	1 美元 = 7.80 港元 USD 1 = HKD 7.80	1 美元 = 7.80 港元 USD 1 = HKD 7.80
美元兌 Z$ USD/Z$	1 美元 = Z$1 400 USD 1 = Z$1 400	1 美元 = Z$1 500 USD 1 = Z$1 500

A. -7.14% **B.** -6.67% **C.** +6.67% **D.** +7.14%

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